

holders. It may have been decades since their companies last went to the equity markets for capital. Today's stockholders may bear little resemblance to the investors who helped bankroll company growth. Why should shareholders' interests take precedence over relationships with employees, customers, and other corporate constituencies?

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*If the confidence of America's investing public is to be maintained in the years ahead, the short-term theory must be exposed for what it really is: a weak argument advanced by weak managements.*

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Because shareholders own the companies. In any public corporation they bear the ultimate financial risk for management's actions. The exposure is no less for the investors who bought their stock 5 days ago than for those who inherited their stock 50 years earlier. There is no initial grace period during which new shareholders are shielded from the effects of corporate blunders. No money-back guarantee protects the recently arrived from unexpected earnings declines. When it comes to allocating risk, length of ownership is not a factor.

The same standards should apply to the rights of ownership. Companies that invite public investors to participate in their glory years should not selectively ignore them once growth slows and performance turns sluggish. Their decision to go public encumbers them with a continuing obligation to serve the interests not only of the initial equity owners but of their successors as well. After all, short-termers would not exist if it weren't for long-termers who were ready to sell. If managements fail to earn competitive returns, they must stand equally accountable to all owners, not just to those who have suffered the longest.

Finally, I encourage investors, managers, and policy-makers to think twice before endorsing antitakeover devices